

Commerce and Accounting

The art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events related to financial character are interpreting the results thereof.

Accounting Cycle: Journal → Ledger → Trial Balance → P&L and Balance Sheet → Analysis → Interpretation → Communication.

- Trial Balance: The debits are always equal to credits
- Profit & Loss Account: shows profit & Loss for the period
- Balance Sheet: shows financial position at a specific point of time

Debit Vs Credit

- Debit: value received or coming in.
- Credit: value given or going out.

Nature	Increase	Decrease
Assets	Debit	Credit
Expenses	Debit	Credit
Liabilities	Credit	Debit
Capital	Credit	Debit
Revenue	Credit	Debit

Accounting Concepts

Entity concept	The business and owner are considered separate entities
Money measurement concept	Only transactions measurable in money are considered
Periodicity concept	Accounts are prepared for definite period of time
Accrual concept	Transactions are recorded when they occur, not when cash is received or paid.
Matching concept	All expenses incurred to earn revenue during a period must be matched against that revenue. (expenses should be matched with revenues)
Going concern concept	It is assumed the business will continue for the foreseeable future. This justifies recording fixed assets at historical cost rather than liquidation/market value.

Capital expenditure	Revenue expenditure
1. Creates new assets/ enhances the capacity /life of an existing one 2. more than a year 3. goes to balance sheet as an asset	1. Maintains asset in its existing condition 2. short term 3. goes to profit and loss account as an expense

Accounting Standards

Accounting Standards ensure financial statements are comparable and transparent. In India, there are two sets of standards:

1. Ind AS (Indian Accounting Standards)
2. AS (Accounting Standards)

Ind AS Applicability

- Mandatory of companies with net worth of + 250 crores [listed & unlisted]
- NBFCs with net worth + 250 crores [listed & Unlisted]
- Applicable to Holding, Subsidiary, Joint Venture, and Associate companies of the above entities.

AS Applicability

- Applicable to companies not covered under the Ind AS [smaller companies]

Accounting Standard for Depreciation and Fixed Assets

AS 10: Property, Plant and Equipment (PPE)

Definition of PPE:

- Items which are held for production, or supply of goods/services or administration etc, and are expected to be used for more than 12 months
- Living plants used for produce is included in AS 10
- The produce growing on the living plants is excluded from AS 10

Depreciation ([LINK](#))

reduction in asset's value from usage, age or becoming outdated

Factors determining depreciation:

1. Cost of asset
2. Useful life estimated
3. Residual value estimated

The depreciation of an asset is calculated based on the factors above and amount is used see the actual value of the asset (subtracted from the profits)

Methods to consider depreciation in the equation (any one method can be chosen)

1. Straight line Method (SLM)
 - Charges equal amount of depreciation every year
2. Written down value (WDV)
 - Charges a fixed % on asset's reducing book value of the asset's performance
 - Hence WDV has high depreciation during initial years and low depreciation during later years

Useful life, residual life, method must be updated annually

Measurement at recognition of an asset ([LINK](#))

1. Purchase price = import duties, non-refundable taxes, less discounts
2. Directly attributed costs = site preparation, installation, assembly, professional fees, trial run costs

- Decommissioning Cost = dismantling cost estimated in the future for restore the site

Costs explicitly excluded during recognition of an asset

- Cost of employee training to use the product
- Inauguration or opening ceremony expenses
- These are charged in the Profit & Loss account

Measurement after recognition (any one method can be chosen)

- Cost Model = *Cost – Accumulated Depreciation – Accumulated Impairment*
- Revaluation Model = *Fair Value – Subsequent depreciation*
 - If one asset is revalued, the entire class must be revalued
 - Increase in Value is credited to Reserves
 - Decrease in Value is debited to Profit & Loss account
 - If parts of an asset have significantly different useful lives they must be depreciated separately.

Disposal of Asset

- Determine it's carrying amount = cost accumulated – depreciation
- Compare carrying amount with sales proceeds
- Difference is recorded as profit or loss in profit and loss account
- asset is removed from the balance sheet

Accounting for Standard for Inventories

AS 2 Valuation of Inventories

Inventory includes finished goods held for sale, work in progress (WIP), and raw materials or supplies used in production. AS 2 determines the amount at which these are shown in the balance sheet till the revenue is collected

Under AS 2	Not Under AS 2 (Exclusions)
- Finished goods - Work in Progress - Raw materials & consumables	- WIP under construction contracts (AS 7) - WIP of Service Providers - Leases (AS 19) - Govt Grant accounting (AS 12) - Financial Instruments (shares/debentures) - Producers Inventory (livestock, agricultural/forest products & mineral oils) (valued at Net Realisable Value)

Determination of Cost of Inventory ([LINK](#))

- Cost of Purchase = *Purchase Price + Duties, Taxes + Freight, handling – Trade discounts*
- Cost of Conversion = *Direct labor + Direct Expenses + Allocation of Fixed & Variable production overheads*
- Other costs = cost to design or travelling costs

1. Abnormal loss
2. Storage loss
3. Administrative overhead
4. Selling and distribution costs

These are charged to Profit & Loss Account

Cost Formulas		
First In First out (FIFO) (LINK)	Weighted Average Cost (LINK)	Last In First Out (LIFO)
Considers oldest goods will be sold first	Average of the goods is considered as the cost	Considers latest goods will be sold first This is not permitted under AS 2

Net Realisable Value (NRV) = *Estimated Selling Price – Estimated Cost of Completion – Estimated Selling Expenses* ([LINK](#))

Measurement Rule: Inventories must be valued at Cost or Net Realisable Value (NRV), whichever is LOWER.

Anticipate losses if $NRV < Cost$

Do not anticipate profit if $NRV > Cost$

Raw materials are not written below the cost if the finished product is to sold at or above cost

Accounting Standards for Revenue Recognition

AS 9

Revenue is income earned from a business's normal activities: selling goods, providing services, and earning interest, royalties or dividends. AS 9 tells us when to record that income in the Profit & Loss Statement.

1. Sale of goods

Recognize revenue when the goods belong to the buyer, the main risks and rewards have passed to the buyer, and the seller no longer controls the goods. There must also be no significant doubt about collecting the payment.

3. Services
 - Proportionate completion: Recognize revenue as the work is done. For a one-year maintenance contract, revenue may be recorded over the year.
 - Completed service contract: Recognize revenue when a service that consists of one act is completed, such as placing an advertisement.
4. Other income

Income	When to record it
Interest	As time passes based on the amount outstanding and interest rate
Royalty	Recognized Accrual basis based on the agreement
Dividend	When the legal right to receive payment is established by the owner

- Doubt exists at the time of sale: Wait before recording revenue.
- Doubt arises after recording the sale: Keep the revenue recorded and make a provision for bad debt in profit & loss account

Accounting Standards for Foreign Exchange Transactions

AS 11

AS 11 explains how to record transactions in a foreign currency, such as buying goods in dollars or taking a foreign currency loan.

When the transaction happens: Record the transaction using the exchange rate at the Date of Transaction (Spot Rate).

At the balance sheet date: Ask whether the item is *monetary* or *non-monetary*. ([LINK](#))

Item	Meaning and examples	Which exchange rate
Monetary	A fixed amount of money to receive or pay: cash, debtors, creditors, loans	Closing rate on the balance sheet date (31 st march)
Non-monetary	An item rather than a fixed amount of money: machinery, inventory	Usually, the historical rate used when its cost was recorded

The exchange difference of monetary items is shown in the profit & loss account (Gain/loss)

Forward exchange contracts

A forward contract fixes an exchange rate for a future date like hedging: where company makes a binding agreement today to buy or sell foreign currency at a specific exchange rate (the forward rate) on a specific date in the future.

Accounting Standards for Investing

AS 13

AS 13 explains how to record investments such as shares and bonds. The plan when you buy the investment determines its type:

Current Investments = Readily sellable and intended to be held for not more than one year

Long-Term Investments = investments intended to be held longer than 1 year

Investment cost includes the purchase price plus expenses such as brokerage, fees and duties.

Dividends: remember when the profit was earned

- Profit earned before you bought the shares: The dividend is a *pre-acquisition dividend*. Treat it as a return of part of your investment and reduce the investment's cost.

- Profit earned after you bought the shares: The dividend is income and goes to P&L.

When you sell an investment: Compare the money received after selling costs (*net disposal proceeds*) with its recorded value (*carrying amount*). Record the difference as a gain or loss in P&L.

If its classification changes:

- Long-term → current: Transfer at the lower of cost or carrying amount.
- Current → long-term: Transfer at the lower of cost or fair value.

Cash Flow Statement

AS 3

A cash flow statement shows where a business's cash came from and where it went during a period

Cash means money in hand and demand deposits. Cash equivalents are investments that can quickly be turned into a known amount of cash with very little risk of a change in value. They generally have a maturity of three months or less from the date they were acquired, such as a qualifying Treasury bill.

The three types of cash flow:

Operating		Investing		Financing	
Cash from the main business		Cash used to buy, or received from selling, long-term assets and investments		Cash raised from, or returned to, owners and lenders	
Inflow	Outflow	Inflow	Outflow	Inflow	Outflow
○ Money from customers ○ Royalties, fees, commissions	○ Payment to supplier ○ Wages ○ Income tax	○ Sale of fixed assets ○ Sale of investments ○ Interest & dividend received (for non-finance companies)	○ Buying fixed assets ○ Purchase of shares, debentures, equity in other entities ○ Loans & advances to others	○ Money from issuing shares & equity instruments ○ Money from issue of debentures, loans, bonds, mortgages	○ Repayment of loans ○ Redemption of preference shares ○ Payment of dividends ○ Payment of interest on borrowings (for non-financial companies)

Interest and dividends under AS 3:

- For a non-financial company: interest and dividends *received* are investing; interest and dividends *paid* are financing.
- For a financial enterprise such as a bank: interest *paid and received*, and dividends *paid and received*, are generally operating.

How to calculate operating cash flow**Direct method:** ([LINK](#))

Net cash from operating activities = Cash Receipts from customers – Cash Paid to suppliers – cash paid to employees – taxes paid

Indirect method: Start with profit before tax and turn it into a cash figure: ([LINK](#))

1. Add back non-cash expenses, such as depreciation.
2. Remove investing or financing gains and losses:
 - Add: Loss on sale of assets (as it is a non-operating loss).
 - Less: Profit on sale of assets, Dividend Income, Interest Income (transferred to Investing)..
3. Adjust for working capital:
 - Current asset (debtors/inventory) increases → subtract (cash tied up in inventory)
 - Current asset (debtors/inventory) decreases → add. (cash loosening up from sold inventory)
 - Current liability (creditors) increases → add (more cash coming in)
 - Current liability (creditors) decreases → subtract. (money paid to debts)
4. Subtract income tax paid to arrive at net cash from operating activities.

Fund Flow statement ([LINK](#))

A fund flow statement explains why working capital changed between two balance sheet dates.

Working capital = Current assets – Current liabilities

Here, *funds* mean working capital, not just cash. The statement shows where funds came from (sources) and where they were used (applications).

A transaction generally changes working capital only when it involves one current item and one non-current item.

- Buy machinery with cash: Machinery is non-current; cash is current. Working capital decreases → application of funds.
- Pay a creditor with cash: Both are current. Cash and the amount owed to the creditor decrease equally, so working capital does not change → no fund flow.

Inflow	Outflow
Funds generated from operations	Purchase of machinery or other non-current assets
Issue of shares or debentures	Repayment of long-term loans or redemption of debentures
Sale of non-current assets	Payment of dividend & Tax
Taking a long-term loan	Loss from operations

Cash flow statement	Fund flow statement
Tracks changes in cash and cash equivalents	Tracks changes in working capital
Groups flows into operating, investing and financing	Groups flows into sources and applications
Useful for understanding cash available to pay bills	Useful for understanding broader changes in financial position
Prepared under AS 3 mandatory	A management analysis; not required by AS 3

Funds from operations (FFO) = Net Profit adjusted for non-fund items (Depreciation etc)

Financial statement Analysis

Process of dividing financial information into simple elements to find the relation between them and interpret the results of an enterprise

Techniques of Financial Statements

Type	Method
Comparative Financial statements	Horizontal analysis. Two or more years placed side by side to compare of an entity
Common size financial statements	Vertical analysis. Amounts are converted to percentage for common base and compared between two entities
Trend analysis	A series of years are studied of one entity by choosing a base year
Ratio analysis	Relationship between financial factors
Cash flow statement	Inflow and outflow of cash and cash equivalents
Fund flow statement	Represents working capital

Ratio Analysis

A ratio compares two related numbers. In financial statements, it helps us understand what a number *means* rather than looking at it alone.

Type	Main question	Also called
Liquidity	Can the company pay its short-term bills?	Short-term solvency
Solvency	Can the company manage its long term debt?	Long term solvency
Activity	How efficiently does it use its resources?	efficiency
Profitability	How much profit or return does it earn ?	Income ratios

Liquidity ratios: paying short term bills

Current assets include cash, bank balance, debtors, inventory, prepaid expenses and short-term advances.
Current liabilities include creditors, short-term loans, bank overdraft, outstanding expenses and tax payable.

Ratio	Formula	What it tells you
Current Ratio (LINK)	$\frac{\text{Current assets}}{\text{Current Liabilities}}$	Overall ability to pay short-term liabilities. Ideal Benchmark = 2: 1
Quick Ratio (Acid Test) (LINK)	$\frac{\text{Current assets} - \text{Inventory} - \text{prepaid expenses}}{\text{Current Liabilities}}$	Can the companies pay its liabilities without relying on selling its inventory. Ideal Benchmark = 1: 1
Cash Ratio (Absolute Liquidity ratio) (LINK)	$\frac{\text{Cash \& bank balances} + \text{Marketable Securities}}{\text{Current Liabilities}}$	

Remember: A very high current ratio can also signal unsold stock, idle cash or slow collection from customers.

Solvency Ratio: Handling long term debt

Ratio	Formula	What it tells you
Debt-equity ratio (LINK)	$\frac{\text{Long term debt}}{\text{shareholder's equity}}$	High ratio= high risk Low ration = high safety Ideal = = 2: 1 Extremely low means management is not aggressive to use growth opportunities
Proprietary ratio (LINK)	$\frac{\text{shareholder's funds}}{\text{Total Assets}}$	How much of the assets are financed by owners. Higher ratio means, high safety for creditors
Interest coverage ratio (LINK)	$\frac{\text{Earnings before Interest \& Tax (EBIT)}}{\text{Interest on Long term debt}}$	How many times operating earnings cover interest. High ratio = high safety
Debt service coverage ratio (DSCR) (LINK)	$\frac{\text{Earnings avaiable for Debt service}}{\text{Interest} + \text{Installments}}$	Measure to see the Ability to pay both interest and principal instalments

Activity Ratios: Using Resources Efficiently

Measures how fast resources are converted to sales or cash, usually expressed in time

Ratio	Formula	What it tells you
Inventory turnover ratio (LINK)	$\frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$	How often stock is sold and replaced. High ratio = goods move fast Low ratio = slow moving Extremely high ratio can indicate heavy discounts from company to sell products

Debtors turnover ratio (LINK)	$\frac{\text{Net Credit Sales}}{\text{Average Trade Receivables}}$	How quickly cash is collected from customers' High ratio = good, low ratio = bad
Creditors turnover ratio (LINK)	$\frac{\text{Net Credit Purchases}}{\text{Average Trade Payables}}$	How quickly the company pays suppliers. Low ratio = company has more credit period from suppliers
Total assets turnover ratio (LINK)	$\frac{\text{Net Sales}}{\text{Total Assets}}$	Ability to generate sales from assets

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{Closing Inventory}}{2}$$

$$\text{Average Trade receivables (Debtors)} = \frac{\text{Opening Debtors} + \text{Closing Debtors}}{2}$$

$$\text{Average Trade payables (Creditors)} = \frac{\text{Opening Creditors} + \text{Closing Creditors}}{2}$$

Profitability ratios: earning profit and returns

A. Profit Compared with Sales

Ratio	Formula	What it tells you
Gross Profit Ratio (LINK)	$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$	Profit after the direct cost of goods sold
Net Profit Ratio (LINK)	$\frac{\text{Net Profit}}{\text{Net Sales}} \times 100$	Profit after expenses
Operating Ratio (LINK)	$\frac{\text{Operating Cost}}{\text{Net Sales}} \times 100$	Share of sales spent on operations. Operating Cost = Cost of Goods Sold + Operating expenses

B. Return compared with Investment

Ratio	Formula	What it tells you
Return on Capital Employed (ROCE) (LINK)	$\frac{\text{Earnings before Interest \& Tax (EBIT)}}{\text{Capital Employed}} \times 100$	Return earned from the capital used in the business. $\text{Capital Employed} = \text{Total assets} - \text{current liabilities}$
Return on Equity (ROE) (LINK)	$\frac{\text{Net Profit After Tax} - \text{Preference dividend}}{\text{Equity shareholder's fund}}$	Return earned for equity shareholders

ROCE looks at returns on the business's capital; ROE looks at returns for equity shareholders.

C. Market Valuation Ratios

Ratio	Formula	What it tells you
Earnings per share (EPS) (LINK)	$\frac{\text{Profit available for Equity}}{\text{Number of Equity Shares}}$	Earnings attributable to each share
Price-earnings (P/E) ratio (LINK)	$\frac{\text{Market price per share}}{EPS}$	A high P/E may reflect expectations of future growth

Accounting for Share Capital Transactions

A company is legally separate from its shareholders. It can raise money by borrowing or by issuing shares (selling ownership).

Term	Meaning
Authorized Capital	Maximum Share Capital the company is allowed to issue
Issued Capital	Shares offered for subscription
Subscribed Capital	Shares people agree to buy
Called up capital	Amount the company has asked shareholders to pay
Paid up capital	Amount shareholders have actually paid
Call in Arrears	Called Up capital – Paid up Capital
Uncalled Capital	Amount the company has not asked for yet
Reserve capital	Uncalled capital kept for use only on winding up

Equity and preference shares

- Equity shareholders usually vote. Their dividend is not fixed, and they are paid after preference shareholders on winding up.
- Preference shareholders get priority for dividend and repayment of capital. Their dividend rate is fixed, but they generally have limited voting rights.

Issuing shares

- At par: Issue price = face value.
- At premium: Issue price > face value. The extra amount goes to Securities Premium Account; it cannot be used to pay cash dividends.
- At discount: Issue price < face value. This is generally prohibited, with exceptions such as sweat equity.

The usual payment sequence is application → allotment → calls. If too many people apply, the company refunds or adjusts excess application money. If too few apply, minimum subscription rules matter (minimum requirement 90%).

Shares Issued instead of Cash

A company may give shares to a vendor in exchange for an asset.

$$\text{Number of Shares} = \frac{\text{Amount Payable to Vendor}}{\text{Issue Price per Share}}$$

Forfeiture and Reissue

Forfeiture means cancelling a shareholder's shares because they failed to pay an amount due. The company keeps the amount already paid.

For the accounting entry, cancel the called-up share capital, record the unpaid amount, and transfer the amount received to Share Forfeiture Account. Reverse securities premium only if it was due but never received.

Forfeited shares can be reissued at a discount, but the discount cannot exceed the amount forfeited on those shares. Any forfeited amount left after reissue is transferred to Capital Reserve.

Bonus Shares

Issue of shares to existing shareholders free of cost

the company converts accumulated Profits into share capital

net worth remains the same, number of shares increases & share price decreases

Sources of Bonus Issue

1. Free Reserves (General reserves, P&L surplus)
2. Securities Premium Account
3. Capital Redemption Reserve (CRR)

Revaluation Reserve strictly cannot be used

Partially paid shares Must be fully paid before bonus issue

must be implemented within 15 days (if shareholder approval is not required) or 2 months (if shareholder approval is required)

Rights Shares

Offers shareholders to buy new shares at a price below current market price

Shareholder can buy the shares, Sell the right to another person or reject

Theoretical Ex-Right Price:

$$\text{Theoretical Ex Right Price} = \frac{\text{Existing Market Cap} + \text{New Money Raised}}{\text{Total no of Shares}}$$

Value of The Right

$$\text{Value of Right} = (\text{Current Market Price}) - (\text{TERP})$$

Bonus Shares Vs Rights Shares

Type	Bonus Issue	Rights Issue
Chance to get	Existing Shareholders	Existing shareholders
Payment	No	Yes
Purpose	Convert eligible reserves into Share Capital	Raise fresh Money
Cash Inflow	No	Yes

Buy Back of Securities

A buy-back is when a company purchases its own shares and cancels them. This reduces the number of shares, which usually increases Earnings Per Share (EPS)

Sources: free reserves, Securities Premium, proceeds of Issue of Other kind of Security

Shares bought back must be fully paid. When a buy-back uses free reserves, the face value of the shares bought back is transferred to Capital Redemption Reserve (CRR). CRR can be used to issue fully paid bonus shares.

ESOP and Buy-Back

ESOP: Employees get an option to buy shares

An Employee Stock Option Plan (ESOP) gives an employee the right, but not the duty, to buy company shares later at a set exercise price. Companies use ESOPs to attract and retain employees and give them a stake in the company.

Term	Easy meaning
Grant	Company offers the options
Vesting	Employee earns the right by meeting conditions, such as working for a set period
Exercise	Employee chooses to buy the shares and pays the exercise price
Exercise period	Time allowed to make that choice
Intrinsic value	Market price of share – Exercise price
Fair value	Estimated value of the <i>option</i> , calculated using a valuation method

Vesting is earning the right; exercise is using it. SEBI's investor guide states a minimum one-year vesting period.

ESOP accounting and risks

- The company records ESOPs as employee compensation expense over the vesting period.
- When employees exercise options, they pay the company and receive shares. Share capital increases; existing shareholders' ownership percentages may be diluted.
- If the market price falls below the exercise price, employees may choose not to exercise.

B. Buy-back: Company buys its shares back

A buy-back is when a company pays to repurchase its own shares and cancels them. Cash and the number of outstanding shares fall.

Why do it? A company may return spare cash to shareholders, change its capital structure, or signal confidence in its shares. EPS may increase because profit is divided among fewer shares, but a buy-back does not itself increase total profit.

Key rules to revise

- Funding can come from free reserves, securities premium, or proceeds from issuing a different kind of permitted security. The proceeds of a new issue of the same kind cannot fund its buy-back.
- Only fully paid-up shares can be bought back. Section 68 also sets approval, size and post-buy-back debt limits.
- No fresh buy-back offer within 1 year of the closure of the previous one.
- Shares bought back must be physically destroyed within 7 days.
- After buy-back, the Debt-Equity ratio should not exceed 2:1.
- When a buy-back is funded from free reserves or securities premium, an amount equal to the bought-back shares' face value is moved to Capital Redemption Reserve (CRR). CRR can be used for fully paid bonus shares.

“Methods of buy-back: (1) tender offer and (2) open-market purchase through the stock exchange, reintroduced effective 1 August 2026.”

Examples: ([LINK](#))

Type	ESOP	Buy-back
Shares outstanding	Usually increase when new shares are issued on exercise	Decrease when bought-back shares are cancelled
Cash	Comes in when the employee exercises	Goes out to selling shareholders
Main idea	Reward employees with a chance to own shares	Return cash by repurchasing shares

Term	Classification
Share capital	Equity — neither an asset nor a liability
Bank overdraft	Amount withdrawn beyond the bank account's available balance Current Liability
Deferred tax liabilities	Tax expected to become payable in future periods because of timing differences in accounting and tax figures Non-Current Liability
Cash in Hand	Current Asset
Inventory	Current Asset
Property, Plant & Equipment	Non-Current Asset
Long term Debt	Non-Current Liability
Short Term Debt	Current Liability